

International Business Internship

Internship Studio

Project Title	Structuring the Payment and Finance of an Export Order: A Comparative, Risk-Adjusted Cost Analysis
Level	Difficult (financial modelling in Excel, time value of money, trade documentation)
Tools	MS Excel (model and calculations), MS Word or PDF for the report
Aligned Module	Module 6: Documentation in International Trade, Terms of Payment, EXIM Bank, WTO, World Bank

1. Background and Scenario

An exporter does not simply ship goods and wait for money. The choice of payment term (advance payment, letter of credit, documentary collection, or open account) decides how much the exporter finally realises, how long the money is locked up, how much the bank charges, and how much risk of non-payment is carried. Trade finance (packing credit before shipment and bill discounting after shipment), the interest subvention support routed through institutions like EXIM Bank, and the documentation rules under UCP 600 all change the final outcome. In this project you will build one Excel model that compares five payment structures for the same export order and recommends the best one on a risk-adjusted, time-value basis.

Scenario: an Indian manufacturer of engineering goods has won an export order from a buyer in Germany. The exporter must decide how to be paid and how to finance production and the credit period. All amounts are in US dollars (USD). A fixed reporting exchange rate is given only for converting the final figures into rupees; you are not required to analyse currency movements.

2. Objectives

- 1 Compute the pre-shipment financing cost (packing credit) needed to fund production.
- 2 For each of five payment terms, compute all bank charges, the financing or discounting cost, and the expected loss from default risk.
- 3 Convert each term's net realisation to present value using the exporter's cost of capital, so that terms with different payment timings can be compared fairly.
- 4 Rank the five terms by present value of net realisation and by risk, and recommend the best structure with justification.
- 5 Complete a documentation task: identify the discrepancies in a letter of credit presentation under UCP 600 and quantify the impact.
- 6 Write a short institutional analysis of the roles of EXIM Bank, the WTO and the World Bank for this deal.

3. Given Data

3.1 Transaction facts

Export order value (FOB)	USD 600,000
Production cost to be financed (packing credit base)	USD 420,000
Pre-shipment (production) period	60 days

Credit period offered to the buyer	90 days after shipment
Reporting exchange rate (given, fixed)	1 USD = INR 83.50
Day-count convention	360 days per year

3.2 Bank charges

LC advising charge	USD 150 (flat)
LC confirmation charge	0.15% per month on LC value
Negotiation / handling charge	0.20% of bill value
SWIFT / courier	USD 120 (flat)
Documentary collection (D/A) handling	0.15% of bill value
Open account remittance handling	USD 150 (flat)
Inward remittance charge (advance)	USD 100 (flat)
Discrepancy fee (LC)	USD 90 per set

3.3 Finance rates (per year)

Pre-shipment packing credit	9.0%
Post-shipment credit / bill discounting (INR)	9.5%
Interest subvention benefit on eligible credit	3.0% reduction
Foreign currency usance bill discount	6.5%
Exporter opportunity cost of capital (PV rate)	12.0%

Note: the interest subvention reduces the packing credit and the rupee post-shipment credit rates by 3.0 percentage points each. The foreign currency usance discount rate already reflects the applicable rate.

3.4 Payment terms and default risk

Payment term	Special condition	Default probability
Advance payment (100%)	Buyer demands a 5% price concession	0.0%
Confirmed LC at sight	Confirmation charge applies	0.2%
Usance LC 90 days (unconfirmed)	Bill discounted in foreign currency	1.0%
Documentary collection D/A 90 days	No bank undertaking	4.0%
Open account 90 days	No documents held as security	8.0%

Expected loss for a term = default probability multiplied by the exposure (order value). Advance payment needs no packing credit because the cash arrives before production; every other term needs packing credit to fund production.

4. Tasks to Perform

Task A. Pre-shipment financing cost

Compute the packing credit interest on USD 420,000 for the 60 day production period at the subvented rate (packing credit rate minus subvention). This cost applies to every term except advance payment.

Task B. Cost build-up for each payment term

For each of the five terms build a column with these rows: gross amount received, bank charges (itemised), financing or discounting cost, packing credit cost, expected loss, and the resulting net realisation in nominal terms. For the usance LC discount the foreign currency bill for 90 days at 6.5%. For D/A and open account use post-shipment credit at the subvented rate to bring the cash forward to the shipment date.

Task C. Present value and comparison

Each term pays at a different time: advance at day 0, sight LC and all discounted or credit-financed proceeds at the shipment date (day 60). Discount each net realisation back to day 0 using the 12% cost of capital and simple interest for the number of days involved. Then compute the all-in cost of each term as (order value minus present value of net realisation) divided by order value, expressed as a percentage.

Task D. Ranking and recommendation

Rank the five terms by present value of net realisation and separately by default risk. State which term you recommend and defend it. Address directly whether advance payment is really the best option once its price concession is counted, and explain the cost against risk trade-off for the riskier terms.

Task E. Documentation under UCP 600

The confirmed sight LC requires: a signed commercial invoice, a full set of clean shipped on board ocean bills of lading, a marine insurance policy for 110% of CIF value, a packing list, a certificate of origin, and a sight bill of exchange. The exporter presents a set in which: (1) the commercial invoice shows USD 605,000; (2) the bill of lading is marked received for shipment; (3) the insurance policy covers 100% of value; (4) the certificate of origin is consistent; (5) the shipment date is later than the latest shipment date allowed in the LC. Identify every discrepancy, explain briefly why each is a discrepancy under UCP 600, add the discrepancy fee, and explain how a discrepant presentation changes the risk and the expected loss for the sight LC option.

Task F. Institutional analysis (short)

In about half a page each, explain the role of EXIM Bank in financing an export deal like this, and how the frameworks of the WTO and the World Bank group affect the exporter's market access and payment security.

5. Formulas You Will Need

Packing credit interest	$\text{Principal} \times \text{subvented rate} \times (\text{days} / 360)$
Subvented rate	Base credit rate minus interest subvention
Confirmation charge	$0.15\% \times \text{number of months} \times \text{LC value}$
Negotiation charge	$0.20\% \times \text{bill value}$
Usance bill discount	$\text{Bill value} \times 6.5\% \times (90 / 360)$
Post-shipment credit interest	$\text{Bill value} \times \text{subvented rate} \times (90 / 360)$
Expected loss	Default probability $\times$ order value
Net realisation (nominal)	Gross received minus all charges minus financing minus expected loss
Present value factor (simple)	$1 / (1 + 0.12 \times \text{days} / 360)$
Present value of net realisation	Net realisation $\times$ present value factor
All-in cost (%)	$(\text{Order value} - \text{PV of net realisation}) / \text{order value} \times 100$

6. Deliverables

- 1 A written report (MS Word or PDF) with your name, course name, assignment number, the full cost build-up for all five terms, the present value comparison, the ranking, and your recommendation.
- 2 The Excel model containing the assumptions block, the five term columns, all formulas visible, the present value and all-in cost rows, and a summary comparison table or chart.
- 3 Written answers to Task E (documentation discrepancies and their impact) and Task F (EXIM Bank, WTO, World Bank).
- 4 A one paragraph executive recommendation stating the chosen payment term and why.

7. How to Submit

- 1 Create the assignment in MS Word (.doc / .docx) or PDF format.
- 2 Include your full name, course / internship name, and assignment number at the top of the document.
- 3 Show all formulas, calculations, and workings clearly. Attach the Excel file as well.
- 4 Upload the completed file (and the Excel file) to your Google Drive.
- 5 Enable sharing access by setting the file to "Anyone with the link can view".
- 6 Copy the Google Drive link and submit it before the assignment deadline through the official submission portal.

Tip: build one assumptions block at the top of the Excel sheet and reference every cell from there, so a change in any rate updates the whole comparison automatically.